Meta Platforms, Inc.

META NASDAQ

Buy	$625.97 ▲ 2.20%	12M Price Target	52-Week Range	Market Cap
		$720.00	$520.26 – $779.82	$1.60T

META: Oversold Bounce as AI Capex Fears Meet Policy Tailwinds

WHAT HAPPENED

- META bounced +2.2% today after four straight down days that took it from $642 to $612 — classic "oversold snapback." The selloff was really about AI spending anxiety: investors are freaking out that Meta is going to spend $100B+ on data centers and GPUs with no clear ROI timeline, and today's bounce says buyers think the panic went too far.
- The options market is screaming bullish — call buying is 2.6x put buying, and there's unusual call activity right at the $620-630 strikes expiring tomorrow. Translation: big money is betting on a short-term rip, possibly positioning for next week's news flow or just buying the dip.

WHY IT MATTERS

Nothing major happened overnight — the thesis is intact. Keep an eye on price action and how the sector is moving for a potential entry point.

IS IT EXPENSIVE?

See key data table.

WHAT COULD GO WRONG

- AI capex gets worse before it gets better — if next quarter's guidance shows 2027 spending ramping to $120B+, the stock gets hit again regardless of long-term logic
- Ad market softness — Meta is 97% ad revenue, so any slowdown in consumer spending (watch holiday retail numbers) flows straight to the top line
- The non-obvious one: Instagram engagement is quietly getting eaten by TikTok and YouTube Shorts among Gen Z — if that trend accelerates, the ad pricing power that funds the whole AI dream starts eroding

IN THE NEWS

WHAT OPTIONS TRADERS ARE DOING

Put/Call Ratio	**0.38**
Call Vol / Put Vol	**296,310 / 111,534**
Flow Signal	**BULLISH**
Largest Unusual	**CALL $625.0 2026-10 (5.0x OI)**

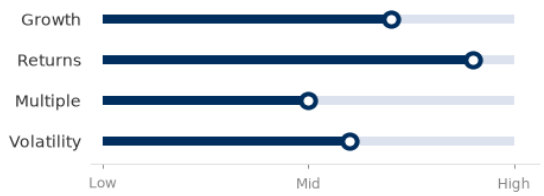
Bullish flow: P/C ratio 0.38 with unusual call block at $625 strike (5.0x OI, $15.7M notional). Institutional positioning appears long-oriented.

ARE INSIDERS BUYING OR SELLING?

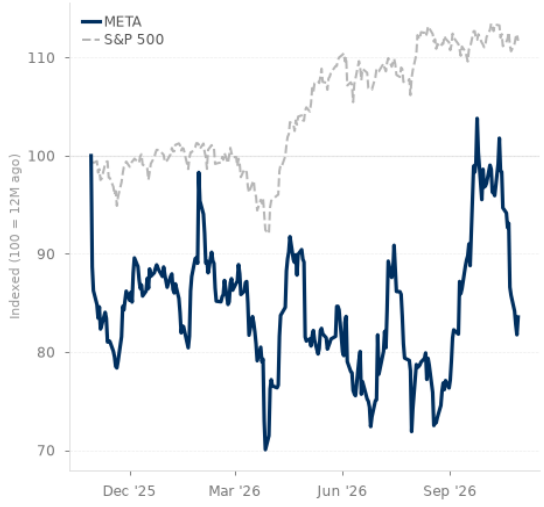
Key Data

Price (USD)	**$625.97**
12M Price Target	**$720.00**
Upside / (Downside)	**+15.0%**
Market Cap	**$1.60T**
FY2026E Revenue	**$193M**
FY2027E Revenue	**$220M**
FY2026E EPS	**$25.80**
FY2027E EPS	**$29.50**
Fwd P/E	**24.3x**

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



This report is prepared by Langston's using SEC EDGAR filings, market data (yfinance), and AI-generated analysis. It does not constitute investment advice. All figures are estimates. Past performance is not indicative of future results. Investors should conduct their own due diligence.

META — Meta Platforms, Inc. | October 29, 2026

PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$680.00**	$640.00	**$580.00**
6 Months	**$750.00**	$680.00	**$540.00**
1 Year	**$820.00**	$720.00	**$520.00**
2 Years	**$950.00**	$800.00	**$500.00**
5 Years	**$1300.00**	$1000.00	**$450.00**
10 Years	**$2000.00**	$1400.00	**$400.00**

WHAT'S MOVING IN THE SECTOR

HEATING UP: Defensive sectors — Real Estate, Healthcare, Utilities all up over 1.4% today. That's a classic "flight to safety" signal, usually when investors are worried about growth stocks or rates.

COOLING OFF: Consumer Staples down 2.3% on the week — suggests the defensive bid is selective, not panic-driven.

ROTATION WATCH: Money is rotating OUT of mega-cap tech (where Meta lives) and INTO rate-sensitive defensives. This usually happens when bond yields drop — meaning the market expects Fed cuts, which eventually helps growth stocks like Meta too, just on a lag.

RELATED PLAY: If you believe the AI buildout is real regardless of Meta's stock, the picks-and-shovels plays are the direct beneficiaries — Nvidia (NVDA), the data center REITs like Equinix (EQIX) and Digital Realty (DLR), and the power companies feeding these facilities.

WHO'S WINNING IN THIS SPACE?

- GOOGL (Alphabet): Winning the ad vs. AI narrative battle right now — investors trust their AI story more because of Gemini traction and TPU chip independence
- NFLX (Netflix): Ad-tier is scaling without the capex nightmare — showing you can monetize AI (recommendations) without spending $100B

META CONTEXT: Meta is lagging its mega-cap peers over the past month specifically because of the capex panic — GOOGL and MSFT also spend big but have cleaner cloud/enterprise revenue stories to justify it. Meta needs to prove the AI spending shows up in ad targeting improvements and Reels monetization, otherwise the discount persists.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

CONVICTION: 7/10 — I like the setup here but I'm not pounding the table because the AI capex overhang is real and could get worse in the next earnings cycle.

POSITION SIZE: 4-6% of portfolio — it's a core holding, not a trade. The cash flow machine (ads) funds the moonshot (AI), so you're getting optionality for free.

ENTRY POINTS: I'd scale in — add on dips to $600-615, back up the truck below $580 if we get one more panic leg down.

TIME HORIZON: 12-24 months — the catalyst is either (a) AI capex guidance stabilizing or (b) a visible monetization win from AI features in ad products.

WHEN TO BAIL: If ad revenue growth drops below 10% YoY in any quarter, or if 2027 capex guidance comes in above $130B with no monetization milestones. Also bail if there's a real breakthrough in the FTC antitrust case forcing a breakup.

HEDGING: Simplest hedge — own GOOGL alongside it. Both benefit from the ad market and AI buildout, but if Meta-specific risk hits (antitrust, Instagram engagement), GOOGL likely holds up better. If you want insurance, buying out-of-the-money puts on days when the stock pops is cheaper than when it's crashing.

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